Chips Reset, Backbone Holds

S&P −2.63%, Nasdaq −4.18% as semiconductors post their sharpest session since 2020. A hot 172K May payrolls print lifts yields and re-prices the Fed path. The Dividend sleeve held −1.28% vs SPY −2.58%; Growth −6.01% bore the chip and crypto re-pricing. Both sleeves still lead YTD.

THE SESSION

The market got the labor reading it asked for, and sold off on the answer. May nonfarm payrolls printed 172,000 against a consensus near 85,000 — better than double expectations — with the unemployment rate steady at 4.3%. A strong jobs number is ordinarily a tailwind. Friday it was a headwind, because it pushed the 10-year Treasury yield toward 4.5% and recalibrated the rate path away from near-term easing. The S&P 500 closed −2.63% to 7,384.67, the Nasdaq −4.18%, and the Russell 2000 −3.47%. The VIX rose to 21.51. The Dow held up best at −1.35%, a tell that the damage was concentrated, not broad.

Where it concentrated was semiconductors. The Broadcom guide earlier in the week had already established that forward AI revenue cadence — not the trailing print — was the binding constraint on premium-multiple names. Friday the market applied that lesson across the whole group. The Philadelphia Semiconductor Index posted its sharpest single-session decline since 2020, and the rotation that had been building all week resolved decisively: capital left high-multiple growth and AI exposure, and what cash flow and valuation discipline remained got rewarded.

For the committee, the session was a clean illustration of why we own the way we do. The Growth Portfolio absorbed the brunt of the chip and crypto re-pricing. The Dividend Strategy, anchored in staples, healthcare, insurance, utilities and defense, finished −1.28% — less than half the S&P's decline and roughly a fifth of the Nasdaq's. Eleven dividend names closed higher on a day the tape fell more than two and a half percent.

FCI Tactical: A single −2.63% session off near-record highs sits nowhere near our tactical buy thresholds, which begin at a −20% drawdown from the all-time high. This is not a signal to deploy cash; it is a reminder of what the dividend backbone is for. We own businesses that pay us to wait through exactly this kind of multiple compression.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

CL +4.09% — DIVIDEND STRATEGY

Colgate-Palmolive led the dividend sleeve as consumer staples drew a defensive bid, surfacing among the S&P's top movers.

CHD +2.78% — DIVIDEND STRATEGY

Church & Dwight added to the staples strength, a low-beta cash-flow profile doing its job as growth multiples compressed.

ORI +2.61% — DIVIDEND STRATEGY

Old Republic's insurance model carried no AI-valuation exposure and benefited from the rotation into durable value.

DGX +2.13% — DIVIDEND STRATEGY

Quest Diagnostics held firm on healthcare's defensive characteristics as capital sought non-cyclical earnings.

EIX +2.12% — GROWTH PORTFOLIO

Edison International was the Growth Portfolio's standout, a regulated utility offering rate-base stability against the day's discount-rate move.

SYK +1.48% — DIVIDEND STRATEGY

Stryker advanced on medtech's defensive bid, reinforcing the sleeve's quality tilt.

DECLINERS

MRVL –16.74% — GROWTH PORTFOLIO

Marvell gave back the back half of a roughly 90% three-week rally; the chip-momentum unwind and index-rebalance speculation drove the day's sharpest move. The business — record revenue and a constructive guide — is intact; the valuation reset is the story.

HUT –12.15% — GROWTH PORTFOLIO

Hut 8 fell with the crypto-miner complex as Bitcoin slipped to roughly $61,300.

ETHA –11.35% — DIGITAL ASSET ETF

The ether ETF sleeve led the digital-asset decline on broad crypto risk-off; IBIT closed −5.22% alongside it.

QCOM –10.98% — DIVIDEND STRATEGY

Qualcomm carried the dividend sleeve's primary drag as the broad semiconductor re-pricing reached across the group — multiple compression, not a company-specific catalyst.

AMD –10.86% GROWTH PORTFOLIO

Advanced Micro Devices fell with the sector after the Broadcom guide reset hyperscaler AI-spend expectations.

LRCX –9.85% DIVIDEND STRATEGY

Lam Research declined on semiconductor-equipment's sensitivity to the same forward-capex questions weighing on the chip names it supplies.

AEM –7.41% GROWTH PORTFOLIO

Agnico Eagle declined as gold fell 3.5% on the yield surge, miners trading inversely to real rates.

NVDA –6.20% GROWTH PORTFOLIO

Nvidia participated in the group-wide reset despite no change to its own demand picture — positioning and rising yields rather than fundamentals.

HOLDINGS NEWS

Analog Devices drew a price-target raise from JPMorgan even as ADI closed −6.38% with the broader chip group — a reminder that the session's move was a sector re-rating, not a verdict on individual fundamentals.

Defense names paused as coverage flagged the Pentagon's restructuring of the military-industrial base; within the committee, LMT (+0.91%) and GD (+1.45%) nonetheless finished higher, the backlog-backed cash flows holding against the noise.

Bitcoin's decline to a roughly two-year low framed the weakness across the crypto-adjacent holdings — COIN (−7.15%), MARA (−11.24%) and HOOD (−6.63%) — a sentiment and rate-driven move rather than a thesis break.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–1.28%

vs. SPY –2.58% | DVY +0.32%

GROWTH PORTFOLIO ✗ TRAIL

–6.01%

vs. IUSG –3.74%

YEAR-TO-DATE

Dividend +13.97% vs DVY +10.10%
Growth +14.07% vs IUSG +9.64%